



RE-GLOBALISATION AND REGIONAL BLOCS

EU • NAFTA • ASEAN • Mercosur • IBAS

How America's Trade Policy is Disrupting the World Order

A Plain-Language Guide by Miguel Rocha de Sousa

What Is This Paper About?

Imagine world trade as a giant spider's web connecting countries and regions. For about 70 years, the United States helped build and protect that web. Now, America is pulling some of those threads — and the whole web is reshaping itself.

This paper asks: What happens to the world economy when the US raises tariffs (taxes on imports) against its trading partners? Who wins, who loses, and what should governments do about it?

We study five big trading blocs — groups of countries that trade intensively with each other:

- The European Union (EU) — 27 European countries
- NAFTA/USMCA — USA, Canada, Mexico
- ASEAN — 10 Southeast Asian countries
- Mercosur — Brazil, Argentina, Uruguay, Paraguay
- IBAS — India, Brazil, South Africa

The Big Question

Is America's trade disruption a permanent change to the world order, or a temporary shock that the world economy can absorb? And what's the best way to respond?

Why Does This Matter to You?

Every product you buy — your phone, your car, your food — crosses borders. When governments add tariffs (extra taxes on imports), prices go up, factories close or move, jobs shift. The effects ripple across the entire economy.

Since 2018, the United States has imposed massive tariffs on imports from China, the EU, and other partners. Other countries have retaliated. The result is the biggest shake-up of world trade rules since the 1930s.

This paper builds a mathematical model to measure exactly how big the damage is, and what the world could do differently.

Three Puzzles the Paper Solves

Puzzle 1: Trade is Changing Shape — Not Dying

You might think trade wars kill trade. In fact, trade is just re-routing. Countries are trading less with the US and more with each other. Intra-bloc trade (trade within the EU, within ASEAN, etc.) has grown, while cross-bloc trade has shrunk. Globalisation is not dying — it is re-globalising.

Puzzle 2: Politics Changes Who Has the Best Products

Classical economics says countries should produce whatever they are most efficient at making. But in today's world, politics matters just as much as productivity. If your country is politically close to the US, you face fewer tariffs. If you are on the "wrong side" of geopolitics, you pay more — even if you make the same product equally well.

We invent a new tool — the Geopolitical Comparative Advantage (GCA) operator — to measure this. Think of it as a "political premium" on top of the usual economic cost of trade.

Puzzle 3: Why Don't Countries Just Cooperate?

If a trade war hurts everyone, why do governments keep fighting? The answer is a classic "prisoner's dilemma": each country is better off fighting (imposing tariffs) no matter what the other does — even though everyone would be better off if they all cooperated. This is the same logic as an arms race.

Our Model: How It Works

We build a mathematical model with five "players" (the five blocs). Each player chooses a tariff policy to maximise the welfare of their citizens. The model runs forward in time, with blocs learning from what they observe.

Two types of outcomes emerge:

Nash Equilibrium (Bad Outcome)

Every bloc acts purely in its own short-term interest. The result is a trade war with high tariffs everywhere. The world as a whole loses about 1.8% of its total consumption — every year, permanently. This is roughly equivalent to every person on Earth losing two weeks of their annual income.

Kantian Equilibrium (Good Outcome)

Blocs ask: "What tariff policy, if everyone adopted it, would be best for the world?" The answer is close to free trade. Under this scenario, the world recovers most of its lost welfare within 3 years. This requires a credible international agreement that everyone believes others will honour.

How Countries Learn: Two Very Different Paths

Learning by Doing

When a factory exports, its workers get better at their jobs. They learn, become more efficient, and can compete globally. When a trade war closes that factory, those skills are lost forever. The damage is permanent. This is the pessimistic scenario: trade wars leave lasting scars on productivity.

Bayesian Learning

Countries watch each other's behaviour and update their beliefs. If they see the US consistently imposing tariffs, they eventually conclude this is permanent and adapt. If they see signs of cooperation, they respond with cooperation. Under this scenario, the disruption is temporary — if governments are patient enough.

What Our Analysis Finds

Based on data from 2000 to 2023 and computer simulations:

- The current US tariff shock is equivalent to about 1.8% permanent loss in world consumption if no one cooperates.
- The EU and ASEAN are relatively resilient because they have large internal markets.
- Mercosur and IBAS are most exposed — but could gain from trade re-routing if they deepen their own integration.
- A cooperative solution exists and is achievable — but requires a stronger multilateral institution than the current WTO.
- Every quarter of delay in returning to cooperation costs the world economy about \$300 billion.

What Should Governments Do?

Right Now (Next 3 Years)

- Keep credit flowing: Small businesses that trade internationally need emergency finance to survive the shock.
- Sign new trade deals fast: EU-Mercosur and EU-ASEAN deals can replace lost US market access.
- Protect strategic industries: Pharmaceuticals, chips, and clean energy require special protection from permanent skill loss.

In the Medium Term (3-10 Years)

- Reform the WTO: The world needs a stronger referee with real enforcement powers.
- Coordinate industrial policy: Blocs should coordinate their government subsidies to avoid a subsidy war on top of a tariff war.

- Build early-warning systems: Better data on geopolitical risk helps firms plan and hedge.

In the Long Run (Beyond 10 Years)

- Embrace multi-polarity: The future is five or more roughly equal trading blocs, not one US-led system.
- Use AI for trade intelligence: Real-time monitoring of political risks can speed up cooperation and reduce misunderstandings.
- Make trade agreements last: Democracies with short electoral cycles (like the US) need international agreements that are harder to undo overnight.

The Bottom Line

America's trade policy disruption is real, costly, and — under certain learning assumptions — potentially permanent. But it is not the end of globalisation. It is the beginning of a new, more multipolar trading world.

The difference between a good outcome and a bad outcome is not about technology or resources. It is about whether governments can coordinate — whether they can make the leap from a "prisoner's dilemma" to a "cooperative game."

History shows this leap is possible. The post-World War II trading system was built from the ruins of the 1930s trade wars. Today's disruption, painful as it is, contains within it the seeds of a more resilient and equitable global trading architecture.

Miguel Rocha de Sousa · Universidade de Évora, Portugal · mrsousa@uevora.pt

Submitted to the Journal of Economic Integration · April 2026